Figure 43.4 This horn bottom trade made 33% in a bear market.

I sold the stock at E for a 33% gain, so for a swing trade, I sold when the trend ended. In early July the stock was down 10% below my sale price, and in September the stock bottomed at 15% down.

In another trade, I bought a stock showing a horn in a downward price trend. Price climbed 8% after I bought and then continued lower after the release of bad earnings. I sold my shares for a loss soon after. That was the smart move because the stock continued lower, ending 74% below the lower of the horn spikes. Thank goodness I got out of that trade quickly.

- Lesson: Don't buy within 3 weeks of an earnings announcement (I didn't).
- Lesson: Do your homework to be sure you're taking a position in a quality stock, one that's waiting for a reason to move higher.

Sample Trade

Mary saw the horn bottom forming in the stock pictured in **Figure 43.5**. Price began climbing in early October 1992 at a low of 8.63. From that point, it soared to the current price in several waves. Waves pushing price